

Retail Equity Research

Mankind Pharma Ltd.

ACCUMULATE

Sector: Pharmaceuticals

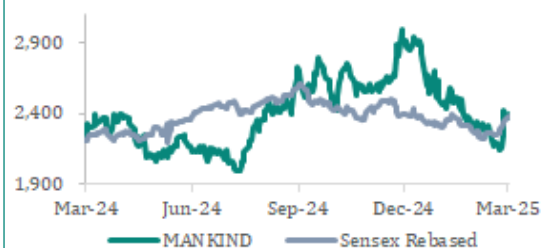
26th March, 2025

Stock Type	Bloomberg Code	Sensex	NSE Code	BSE Code	Time Frame	Target	Rs. 2,691
Mid cap	MANKIND:IN	77,289	MANKIND	543904	12 Months	CMP	Rs. 2,405
						Return	+12%

Date as of : 26-03-2025

Company Data			
Market Cap (Rs.cr)	99,225		
52 Week High — Low (Rs.)	3,050 - 1,910		
Enterprise Value (Rs. cr)	98,790		
Outstanding Shares (cr)	41.3		
Free Float (%)	27.3		
Dividend Yield (%)	0.0		
6m average volume (cr)	0.1		
Beta	0.4		
Face value (Rs.)	1.0		
Shareholding (%)	Q1FY25	Q2FY25	Q3FY25
Promoters	74.9	74.9	72.7
FII's	11.6	12.4	13.3
MFs/Institutions	10.0	9.9	11.1
Public	1.6	1.7	1.7
Others	2.0	1.2	1.2
Total	100.0	100.0	100.0
Promoter Pledge	Nil	Nil	Nil
Price Performance	3 Month	6 Month	1 Year
Absolute Return	-17.6%	-11.1%	8.4%
Absolute Sensex	-0.6%	-8.4%	7.4%
Relative Return	-17.0%	-2.7%	1.0%

*over or under performance to benchmark index



Y.E March (cr)	FY25E	FY26E	FY27E
Sales	12,195	14,817	16,817
Growth (%)	18.0	21.5	13.5
EBITDA	3,124	3,873	4,617
EBITDA Margin (%)	25.6	26.1	27.5
PAT Adjusted	1,935	2,278	2,838
Growth (%)	1.2	17.7	24.5
Adjusted EPS	46.9	55.2	68.8
Growth (%)	-1.6	17.7	24.5
P/E	51.1	43.4	34.9
P/B	8.7	7.2	5.9
EV/EBITDA	32.4	26.1	21.9
ROE (%)	17.2	16.8	17.2
D/E	0.6	0.4	0.2

BSV acquisition fuels expansion

Mankind Pharma is an Indian multinational pharmaceutical and healthcare product company, headquartered in Delhi. The company has products in therapeutic areas ranging from antibiotics, to gastrointestinal, cardiovascular, dermal, And erectile dysfunction medications.

- In Q3FY25, Mankind Pharma's consolidated revenue grew 23.9% YoY to Rs. 3,230cr, driven by strong growth across the domestic, consumer healthcare and export businesses.
- Its domestic revenue grew 15.5% YoY to Rs. 2,773cr, supported by the Bharat Serums and Vaccines (BSV) acquisition (market share increased from 4.4% to 4.8%), chronic therapy outperformance (cardiac 1.3x, anti-diabetic 1.1x), and a rise in prescriber penetration from 83.1% to 84.4%.
- Mankind Pharma's consumer healthcare revenue grew 29.5% YoY to Rs. 193cr, driven by strong brand performance, with notable increases from Manforce condoms (+13%), Gas-O-Fast (+28%) and HealthOk (+26%).
- EBITDA (earnings before interest, tax, depreciation and amortisation) increased 36.8% YoY to Rs. 830cr in Q3FY25. EBITDA margin expanded 240bps YoY to 25.7%, primarily driven by strong topline performance.
- Reported PAT decreased 16.4% to Rs. 385cr, impacted by a significant surge in interest expenses and debt servicing costs.

Outlook & Valuation

The company's management team remains committed to prioritising operational efficiency and strategic expansion to sustain success. A key financial objective is to attain a net debt-to-adjusted EBITDA ratio of 2x by FY25, underscoring the importance of preserving a robust financial foundation. The restructuring of BSV's pharmaceutical segment is expected to yield positive fiscal results. Therefore, we assign a **ACCUMULATE** rating on the stock with a target price of Rs. 2,691, based on 39.0x FY27E adjusted EPS.

Quarterly Financials Consol.

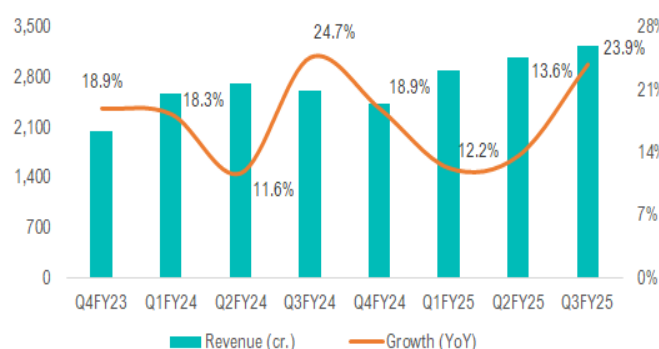
Rs.cr	Q3FY25	Q3FY24	YoY (%)	Q2FY25	QoQ (%)	9MFY25	9MFY24	YoY (%)
Sales	3,230	2,607	23.9	3,077	5.0	9,200	7,894	16.5
EBITDA	830	607	36.8	850	-2.4	2,362	1,944	21.5
Margin (%)	25.7	23.3	240bps	27.6	-190bps	25.7	24.6	110bps
EBIT	638	497	28.3	744	-14.4	1,956	1,650	18.5
PBT	497	562	-11.6	849	-41.4	2,014	1,828	10.2
Rep. PAT	385	460	-16.4	659	-41.6	1,586	1,465	8.3
Adj PAT	380	454	-16.2	653	-41.8	1,570	1,442	8.9
Adj. EPS (Rs)	9.2	11.3	-18.6	16.3	-43.5	38.9	36.0	8.2



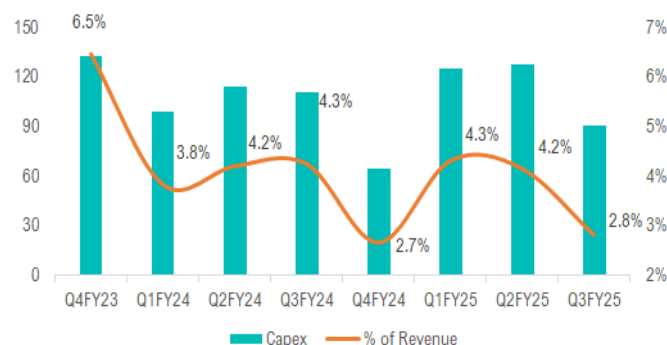
Key concall highlights

- Mankind Pharma Ltd successfully acquired a 100% stake in (Bharat Serums and Vaccines Limited) BSV, on October 23, 2024, in a landmark deal valued at Rs 13,768 crore.
- The company has recently formed a strategic partnership with Innovent Biologics to in-license Sintilimab, a cutting-edge PD-1 immunotherapy. This partnership aims to address the significant challenges associated with cancer treatment and increase access to innovative therapies in India.
- Expansion of the DMF-grade (Drug Master File-grade) products portfolio is a strategic move to address the growing need for high-quality healthcare solutions. The company aims to provide customers with a wider range of options that meet their specific needs.
- The company has taken a strategic step by separating its over-the-counter business into a distinct subsidiary, Mankind Consumer Products Private Limited, to unlock new growth opportunities and enhance competitiveness in the consumer healthcare market.
- It has established an ambitious growth target of 15% or more per annum for the super-specialty business, BSV, over the next two years, driven by a strategic focus on optimising the existing portfolio and expanding into high-entry barrier therapeutic areas, including oncology and immunology.

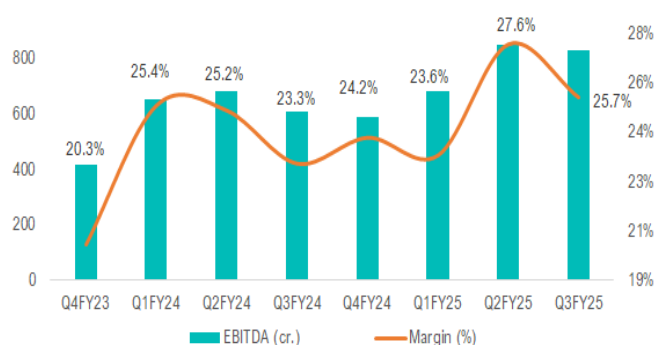
Revenue



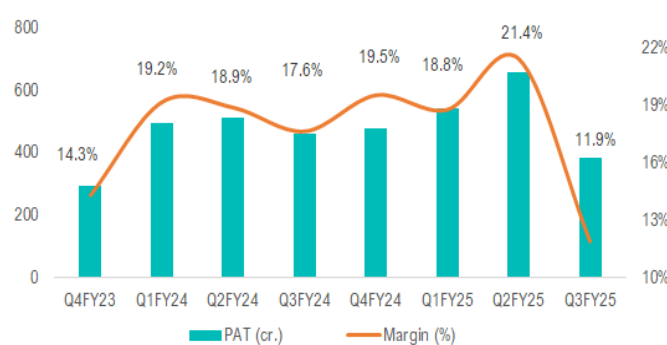
Capital Expenditure (CAPEX)



EBITDA



PAT



Change in Estimates

Year / Rs cr	Old estimates		New estimates			Change (%)	
	FY25E	FY26E	FY25E	FY26E	FY27E	FY25E	FY26E
Revenue	-	-	12,195	14,817	16,817	-	-
EBITDA	-	-	3,124	3,873	4,617	-	-
Margins (%)	-	-	25.6	26.1	27.5	-	-
Adj. PAT	-	-	1,935	2,278	2,838	-	-
EPS	-	-	46.9	55.2	68.8	-	-

Consolidated Financials

Profit & Loss

Y.E March (Rs. Cr)	FY23A	FY24A	FY25E	FY26E	FY27E
Sales	8,749	10,335	12,195	14,817	16,817
% change	12.4	18.1	18.0	21.5	13.5
EBITDA	1,901	2,535	3,124	3,873	4,617
% change	-4.5	33.4	23.2	24.0	19.2
Depreciation	326	398	552	679	738
EBIT	1,575	2,137	2,572	3,194	3,879
Interest	44	34	311	286	271
Other Income	141	296	352	164	209
PBT	1,671	2,399	2,613	3,071	3,817
% change	-15.4	43.6	8.9	17.5	24.3
Tax	362	458	653	768	954
Tax Rate (%)	21.6	19.1	25.0	25.0	25.0
Reported PAT	1,310	1,942	1,960	2,303	2,863
PAT att. to common shareholders	1,282	1,913	1,935	2,278	2,838
Adj.*	-	-	-	-	-
Adj. PAT	1,282	1,913	1,935	2,278	2,838
% change	-10.6	49.2	1.2	17.7	24.5
No. of shares (cr)	40.1	40.1	41.3	41.3	41.3
Adj EPS (Rs.)	32.0	47.7	46.9	55.2	68.8
% change	-10.6	49.0	-1.6	17.7	24.5
DPS (Rs.)	-	-	-	-	-

Cashflow

Y.E March	FY23A	FY24A	FY25E	FY26E	FY27E
Net inc. + Depn.	1,636	2,340	2,512	2,982	3,601
Non-cash adj.	182	54	-1,623	-1,447	-2,139
Other adjustments					
Changes in W.C	-4	-242	-247	-457	-244
C.F. Operation	1,813	2,152	642	1,077	1,218
Capital exp.	-826	-382	-3,293	-741	-841
Change in inv.	-	-	-	-	-
Other invest.CF	-228	-1,700	50	50	50
C.F - Investment	-1,054	-2,082	-3,243	-691	-791
Issue of equity	-	-	-	-	-
Issue/repay debt	-695	34	6,874	-1,619	-1,234
Dividends paid	-	-	-	-	-
Other finance.CF	-44	-29	-311	-286	-271
C.F - Finance	-740	5	6,563	-1,905	-1,505
Chg. in cash	19	76	3,963	-1,519	-1,078
Closing Cash	453	1,198	5,161	3,642	2,564

Balance Sheet

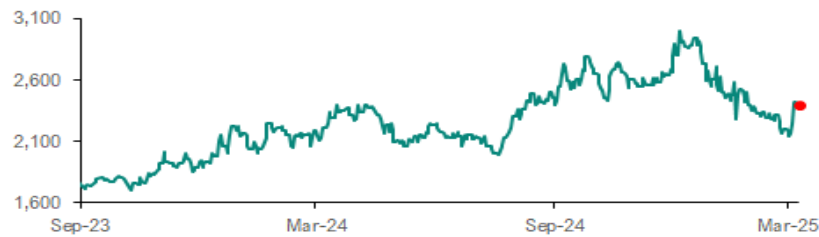
Y.E March (Rs. Cr)	FY23A	FY24A	FY25E	FY26E	FY27E
Cash	453	1,198	5,161	3,642	2,564
Accts. Receivable	576	848	1,341	1,660	1,917
Inventories	1,498	1,553	1,704	2,105	2,246
Other Cur. Assets	1,800	2,969	4,922	6,441	8,612
Investments	276	315	339	368	403
Gross Fixed Assets	314	376	691	3,984	4,725
Net Fixed Assets	2,524	2,932	5,631	5,643	5,686
CWIP	493	207	249	298	358
Intangible Assets	1,778	1,683	1,683	1,849	2,032
Def. Tax -Net	30	80	115	135	168
Other Assets	286	178	220	370	520
Total Assets	9,715	11,963	21,365	22,511	24,506
Current Liabilities	1,724	1,949	2,399	2,785	3,076
Provisions	98	123	140	140	140
Debt Funds	163	196	7,070	5,451	4,217
Other Liabilities	108	120	146	146	146
Equity Capital	40	40	40	40	40
Res. & Surplus	7,395	9,323	11,333	13,686	16,599
Shareholder Funds	7,435	9,363	11,373	13,727	16,639
Minority Interest	188	213	238	263	288
Total Liabilities	9,715	11,963	21,365	22,511	24,506
BVPS	186	233	276	333	403

Ratio

Y.E March	FY23A	FY24A	FY25E	FY26E	FY27E
Profitab. & Return					
EBITDA margin (%)	21.7	24.5	25.6	26.1	27.5
EBIT margin (%)	18.0	20.7	21.1	21.6	23.1
Net profit mgn.(%)	14.7	18.5	15.9	15.4	16.9
ROE (%)	17.6	20.7	17.2	16.8	17.2
ROCE (%)	20.2	21.9	13.8	16.4	18.3
W.C & Liquidity					
Receivables (days)	24.0	30.0	40.2	40.9	41.6
Inventory (days)	187.7	176.7	182.5	183.2	184.0
Payables (days)	126.3	125.4	160.6	153.3	157.0
Current ratio (x)	2.3	3.1	3.0	3.3	3.8
Quick ratio (x)	1.1	2.0	2.3	2.1	2.0
Turnover & Leverage					
Gross asset T.O (x)	32.6	29.9	22.8	6.3	3.9
Total asset T.O (x)	0.9	1.0	0.7	0.7	0.7
Int. covge. ratio (x)	35.4	63.7	8.3	11.2	14.3
Adj. debt/equity (x)	0.0	0.0	0.6	0.4	0.2
Valuation					
EV/Sales (x)	6.5	8.8	8.3	6.8	6.0
EV/EBITDA (x)	30.0	36.0	32.4	26.1	21.9
P/E (x)	44.5	48.2	51.1	43.4	34.9
P/BV (x)	7.7	9.8	8.7	7.2	5.9



Recommendation Summary - (last 3 years)



Dates	Rating	Target
26-Mar-25	ACCUMULATE	2,691

Investment Rating Criteria

Ratings	Large caps	Midcaps	Small Caps
Buy	Upside is above 10%	Upside is above 15%	Upside is above 20%
Accumulate	-	Upside is between 10%-15%	Upside is between 10%-20%
Hold	Upside is between 0% - 10%	Upside is between 0%-10%	Upside is between 0%-10%
Reduce/sell	Downside is more than 0%	Downside is more than 0%	Downside is more than 0%

Not rated/Neutral

Definition:

Buy: Acquire at Current Market Price -CMP, with the target mentioned in the research note; **Accumulate:** Partial buying or to accumulate as CMP dips in the future; **Hold:** Hold the stock with the expected target mentioned in the note.; **Reduce:** Reduce your exposure to the stock due to limited upside.; **Sell:** Exit from the stock; **Not rated/Neutral:** The analyst has no investment opinion on the stock.

Symbols definition:



Upgrade



No Change



Downgrade

To satisfy regulatory requirements, we attribute 'Accumulate' as Buy and 'Reduce' as Sell.

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Not rated/Neutral- The analyst has no investment opinion on the stock under review.

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